FD is over.

If the interest rates on the fixed deposits increase very rapidly, you might be tempted to break an existing fixed deposit with a lower rate of return and invest the money in a new fixed deposit with a higher rate of return. For example, a one year bank fixed deposit that was fetching 7-7.50% 6 months back now fetches 8.50-9%. So what should you do as a retail investor?

Although it may seem that it is wise to go ahead and break an FD and reinvest the money in a new FD with a higher rate of return, you should take into account the following penalties that the banking institution may levy on you for "breaking an FD,"and then arrive at a decision:

1. **Reduced interest rate**

   When you break an FD, banks do not give the rate of interest at which you invested in the FD– you get the rate existing at the time of starting a fixed deposit and applicable for the duration for which you actually kept the money with the bank.

   So, if you kept an FD for 4 years, with an interest rate of 8%. Now, you want to break it after 2 years. In this case, you would get the rate applicable to a 2 year FD prevailing at the time when you had invested in the FD, and not the interest rate of 8% which was applicable to a 4 year FD.

   So, if the rate for 2 years was 7.25% when you had invested in your 4 year FD, you would only get an interest of 7.25% per year for the 2 years you have kept the money with the bank – and not 8% per annum.

2. **Penalty in the rate of interest**

   It doesn't stop at that. Most banks also charge a penalty in interest rate, which is 0.5% to 1% (there may be exceptions, which need to be discussed with the bank on a case to case basis). When you break an FD, banks normally give you an interest rate that is lower by 0.5%-1% than the interest rate applicable to an FD of the duration for which you have kept the money with the bank.

   Continuing with our previous example: